

TERMS OF REFERENCE

of

INNOVATIVE FINANCIAL PRODUCT DEVELOPMENT SPECIALIST (INTERNATIONAL)

Title	:	Selection of innovative financial product development Specialist for BIFFL
Contract Package	:	BIFFL-S9A
Organization	:	Bangladesh Infrastructure Finance Fund Limited (BIFFL)
Type of Contract	:	Individual Consultant (International)
Project Name	:	Investment Promotion and Financing Facility II (IPFF-II) Project
Credit No	:	IDA Credit No. 6004 (Portion A)-BD & 6005 (Portion B)-BD
Duration:	:	18 (eighteen) Months
Duty station:	:	Dhaka, Bangladesh

A. Background:

Bangladesh Bank has been implementing Investment Promotion and Financing Facility II (IPFF-II) Project, a project of Finance Division, Ministry of Finance (MoF) supported by the World Bank (WB), with five years tenure from July 2017 to June 2022. IPFF-II Project has two components: (1) Long-Term Infrastructure Financing component of USD 403.70 million and (2) Technical Assistance (TA) component of USD 13.00 million. The project is established with a view to increase long-term financing for infrastructure and to build capacity of the local financial institutions for promoting private sector-led infrastructure financing in Bangladesh. IPFF-II is the follow-on project of IPFF Project (ended on 31 December 2016).

The main objective of Component-1 is to continue long term lending facility along the lines of IPFF, with new design features that will enhance impact and leverage of the component. Bangladesh Bank's Project Implementation Unit (PIU), the IPFF-II Project Cell, will on-lend the borrowed funds to the Participating Financial Institutions (PFI) to refinance/co-finance long-term loans extended by the PFIs to the infrastructure investors.

Under IPFF-II Project Bangladesh Bank will provide loan to infrastructure projects through PFIs in the following key sectors:

1. Power generation, transmission, distribution, renewable energy, and services (with the exception of coal-fired and nuclear power plants);
2. Port development (sea, river, and land) including inland container terminals, inland container depots, and other services;
3. Environmental, industrial, and solid waste management projects;
4. Highways and expressways including mass-transit, bridges, tunnels, flyovers, interchanges, city roads, bus terminals, commercial car parking, and so on;
5. Airports, terminals, and related aviation facilities;
6. Water supply and distribution, sewerage, and drainage;
7. Industrial estates and parks development;
8. ICT; and
9. The social sector including health and education.

The key objective of Component-2 is to build and strengthen the ecosystem of long-term infrastructure financing in Bangladesh. As such BIFFL will receive certain TA support to appoint a firm for developing innovative financial products for BIFFL. Accordingly, IPFF-II Project Cell of Bangladesh Bank signed a MoU with BIFFL on May 29, 2018 to delegate procurement and contract management responsibility to BIFFL for the service packages allocated for them. However, all such contracts shall be signed by IPFF-II Project Cell and payment will also be made by IPFF-II Project Cell. Besides, as PFI of IPFF-II, BIFFL will be able to avail facility loan under component-1.

Bangladesh Infrastructure Finance Fund Limited (BIFFL) is a government-owned Non-Bank Financial Institution, established in 2011 for infrastructure financing. Its current paid-up capital is BDT 2,108 Crore (equivalent to US Dollar 262.5 million) with an authorized capital of BDT 10,000 Crore (Equivalent to USD 1.25 billion). BIFFL is receiving financial support from different bilateral and multilateral agencies including World Bank, Asian Development Bank, and JICA. The Company has a diverse long-term loan portfolio including power, connectivity, tourism, health, IT etc. Pursuant to the execution of a Master Facility Agreement, BIFFL became one of the PFIs under IPFF-II Project on 07/08/2018.

BIFFL is now seeking to hire Individual Consultant for assisting BIFFL to develop innovative financial products for financing in infrastructure projects in Bangladesh.

B. Objective of the assignment

The main objective of the consultancy is to provide specialized technical support to BIFFL to develop and launch innovative financial products successfully in the market with properly developed operational directives, policies, guidelines, and marketing strategies.

C. Scope of Services, Tasks and Expected Deliverable

The scope of services of the Consultant will include but not limited to the following:

1. Prepare gap analysis report identifying the need for innovative products and their required features keeping in mind the financial market of Bangladesh.
2. Based on the recommendations of gap analysis, develop minimum four (4) innovative financial products and product specific operational directives, policies and guidelines considering best market practice.
3. Prepare marketing strategy for newly developed products.
4. Provide orientation on the newly developed products by conducting knowledge-sharing sessions to the potential sponsors/ subprojects, Participating Financial Institution (PFIs) etc.
5. Develop and share financial models for minimum four (04) innovative products with BIFFL's investment units and other stakeholders.
6. Successful implementation of minimum four (04) innovative products (up to final disbursement stage as stated in the credit approval process of BIFFL's Credit Policy 2014).
7. Conduct review and revision of product specific operational directives, policies and guidelines upon appraising the performance of the new product.

8. Any other task relating to innovative product development and implementation assigned by BIFFL.

D. Reporting requirements and Time Schedule for Deliverables

The Individual Consultant will work with different investment units of BIFFL and be responsible to the CEO of BIFFL or to any other person designated by him for discharging all the above-mentioned services under the Project. Consultant will submit the following deliverables to BIFFL in due time:

Sl. No.	Deliverables	Frequency / Time	Indicative Payment Milestone
1.	Work Plan and inception report setting out scope of services to be delivered with targets.	One time (within one month from the date of commencement of consultancy service)	6 % Contract Price
2.	Gap Analysis Report on existing products and identification of need for new products	Within two (02) months from the date of commencement of consultancy service)	6 % Contract Price
3.	(a) Product specific operational directives, policies and guidelines for at least four (04) products	Within ten (10) months starting from the date of commencement of consultancy service)	12 % per product x 4 products = 48 % Contract Price
	(b) Marketing strategy for newly developed products at least four (04)		
	(c) Developed financial model and appraisal template for four (04) products.		
	(d) Orientation on the newly developed products by conducting knowledge-sharing sessions		
4.	Implementation of minimum four (04) innovative products	Within 12 (twelve) months from the date of commencement of consultancy service)	12 % Contract Price
5.	Quarterly Review & Revision Report on developed Product specific operational directives, policies and guidelines	- First quarterly report-within 15 (fifteen) months - Second quarterly report - and within 18 (eighteen) months (from the date of start of the consultancy service)	6% per report x 2 = 12 % Contract Price
6.	Final Report on overall performance over the period of the assignment.	In the last month of the Contract period.	16 % Contract Price
Total			100%
Note: Payment milestone and percent of payment shall be finalized during contract negotiation.			

Consultant shall also submit all original notes, records, background information, reports, digital copies of text documents in unprotected digital formats (such as MS Word, MS Excel, MS PowerPoint etc.)

E. Qualifications Requirements for the Expert (Education, Experience & Language)

- Minimum Post-Graduation in Finance/ Accounting/ Business Administration/ Economics/ Law or an equivalent degree from reputable University/ Institutions. Having relevant professional qualification will be an added advantage.
- 15 (Fifteen) years general experience including 10 (Ten) years relevant experience related to innovative financial product development.
- Consulting experience in finance, banking, policy especially in project finance and infrastructure projects;
- Experience of successfully designing and developing innovative products for banks and financial institutions in financing long-term infrastructure projects;
- Having relevant international working experience in similar assignments and development partner funded (World Bank/ IFC/ ADB etc.) infrastructure projects with similar role/tasks shall be given preference.
- Having strong communication and presentation skills in English.

F. Duration of the Contract

The total Services will need to be delivered over a **Contract period of 18 (eighteen)** months from the date of commencement of the service. It may be increased or decreased depending on the performance of the consultant, project needs, and budget.

G. Data, facilities and local service to be provided by the client (Institutional Arrangement)

- a) Personal Computers, Photocopy, and Support Services: The Consultant shall be responsible for the provision of their own computing equipment. She/ He may avail BIFFL's central printing and photocopying services following BIFFL Green Office Guideline.
- b) Office Space: The Consultant will be provided with temporary workstation during his/her stay at BIFFL, along with guest-access to BIFFL's wireless internet service.
- c) Data and documents: BIFFL will provide relevant documents and data and prepare them for the Consultant's review upon his/ her arrival.
- d) Duty Station: The work is to be performed in Dhaka, Bangladesh. Briefing and debriefing meetings will be held in BIFFL Head Office.
- e) Site Visit: The consultant will visit sub-project site(s) if required.

H. Financial Proposal

The financial proposal must be expressed in the form of an "all-inclusive" lump-sum amount, supported by breakdown of costs. The term "all inclusive" implies all cost (professional fees, travel costs, living allowances etc.) Under the lump sum approach, the contract price is fixed, regardless of changes in cost components. For duty travels, all living allowances required to perform the demands of the TOR must be incorporated in the financial proposal.

I. Payment Mechanism

The consultant will work under a 'Lump-Sum Contract'. Therefore, the payments will be made after achieving the milestone as mentioned in the deliverables under Section 4.

All deliverables will only be accepted if they meet highest quality standards. Documents, including drafts, must be well structured and written. Data collection, analysis and presentation are expected to meet highest standards. All final documents must be proofed and professionally edited before submission.

J. Recommended presentation of Application

- Letter of application with duly accomplished Letter of Confirmation of Interest and Statement of Availability for the entire duration of the assignment;
- Personal CV indicating all past relevant experience, qualification etc.as well as the contact details (including email and telephone number)
- Brief description of why the individual considers him/herself as the most suitable and how they will approach and complete the assignment;
- Financial Proposal that indicates the all-inclusive fixed total contract price, supported by a breakdown of costs

K. Selection procedure of Consultant and Contract Signing

The Consultant will be selected using Individual Consultant Selection (Open-International) method following the World Bank Procurement Regulations for IPF Borrower, July 2016. The selected Consultant shall sign the contract with Bangladesh Bank as represented by the IPFF-II Project Cell. BIFFL shall facilitate the Consultant selection and contract signing. The number of points to be assigned to each of the above positions shall be determined considering the following three sub-criteria and relevant percentage weights:

Sl.	Technical Criteria for selection	Weight Percentage
1	General qualifications (general education, training, and experience)	10 %
2	Adequacy for the Assignment (relevant education, training, experience in the sector/similar assignments etc.)	80 %
3	Relevant experience in the region (South Asia)	10 %
Total technical score		100 %